BANKING STRUCTURE, NBFCS AND FINANCIAL REGULATION

BANKING LEGAL PERIMETER → MATURITY TRANSFORMATION → MULTI-TIER ARCHITECTURE → DIFFERENTIATED-BANK FORK → RURAL-CREDIT MAP → PSL TARGET BOARD

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

◆ PRIMARY CORE FLOW ◆ SUBORDINATE EXTRA ◆ APPROVAL / REVIEW

CORE BEFORE EXTRA • prior artifacts unchanged • exact same master drives poster and tiles

Approval: FALSE • Pending user review • source generation g2 and all prior artifacts unchanged

00

STAGE 00

BANKING LEGAL PERIMETER

BANKING LEGAL PERIMETER · SCHEDULED BANK · SECOND SCHEDULE STATUS · COMMERCIAL BANK · DEPOSITS + PAYMENTS + CREDIT · CO-OPERATIVE BANK · MEMBER FORM + BANKING OVERSIGHT · FINANCIAL COMPANY, NOT FULL BANK POWERS

SCHEDULED BANK → Second Schedule status

COMMERCIAL BANK → deposits + payments + credit → CO-OPERATIVE BANK → member form + banking oversight → NBFC → financial company, not full bank powers

CORE CLAIM
- SCHEDULED BANK → Second Schedule status
- COMMERCIAL BANK → deposits + payments + credit

MECHANISM
- CO-OPERATIVE BANK → member form + banking oversight
- NBFC → financial company, not full bank powers

CONSEQUENCE / LIMIT
- MUST REMEMBER: India's financial system separates scheduled banks, cooperative banks,...
- SCHEDULED BANK → Second Schedule status

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MUST REMEMBER: India's financial system separates scheduled banks, cooperative banks,.

01

STAGE 01

MATURITY TRANSFORMATION

MATURITY TRANSFORMATION · WITHDRAWABLE DEPOSITS · POOLED BANK FUNDING · LONGER LOANS AND INVESTMENTS · LIQUIDITY + CREDIT + INTEREST-RATE MISMATCH

WITHDRAWABLE DEPOSITS → pooled bank funding → longer loans and investments → RISK → liquidity + credit + interest-rate mismatch

CORE CLAIM
- WITHDRAWABLE DEPOSITS
- pooled bank funding

MECHANISM
- longer loans and investments
- RISK → liquidity + credit + interest-rate mismatch

CONSEQUENCE / LIMIT
- WITHDRAWABLE DEPOSITS
- pooled bank funding

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: RISK → liquidity + credit + interest-rate mismatch.

02

STAGE 02

MULTI-TIER ARCHITECTURE

MULTI-TIER ARCHITECTURE · SMALL FINANCE BANK · PAYMENTS BANK · PSB / PRIVATE / FOREIGN

PSB / PRIVATE / FOREIGN

RRB / CO-OPERATIVE → SMALL FINANCE BANK → PAYMENTS BANK

CORE CLAIM
- PSB / PRIVATE / FOREIGN
- RRB / CO-OPERATIVE

MECHANISM
- SMALL FINANCE BANK
- PAYMENTS BANK

CONSEQUENCE / LIMIT
- PSB / PRIVATE / FOREIGN
- RRB / CO-OPERATIVE

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: RRB / CO-OPERATIVE; SMALL FINANCE BANK; PAYMENTS BANK.

03

STAGE 03

DIFFERENTIATED-BANK FORK

DIFFERENTIATED-BANK FORK · DEPOSITS + LENDING · PAYMENTS BANK · DEPOSITS + PAYMENTS · NO OWN-BALANCE-SHEET LENDING · SIMILAR LICENCE FAMILY, DIFFERENT POWERS

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
SFB → deposits + lending	PAYMENTS BANK → no own-balance-sheet lending	SFB → deposits + lending
PAYMENTS BANK → deposits + payments	RULE → similar licence family, different powers	PAYMENTS BANK → deposits + payments

CORE CLAIM
- SFB → deposits + lending
- PAYMENTS BANK → deposits + payments

MECHANISM
- PAYMENTS BANK → no own-balance-sheet lending
- RULE → similar licence family, different powers

CONSEQUENCE / LIMIT
- SFB → deposits + lending
- PAYMENTS BANK → deposits + payments

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: PAYMENTS BANK → no own-balance-sheet lending; RULE → similar licence family, different powers.

04

STAGE 04

RURAL-CREDIT MAP

RURAL-CREDIT MAP · RURAL INTERMEDIARY · LEAD BANK · DISTRICT COORDINATION · SERVICE AREA · LOCAL RESPONSIBILITY · COVERAGE DOES NOT ENSURE VIABLE CREDIT

RRB → rural intermediary

LEAD BANK → district coordination → SERVICE AREA → local responsibility → LIMIT → coverage does not ensure viable credit

CORE CLAIM
- RRB → rural intermediary
- LEAD BANK → district coordination

MECHANISM
- SERVICE AREA → local responsibility
- LIMIT → coverage does not ensure viable credit

CONSEQUENCE / LIMIT
- RRB → rural intermediary
- LEAD BANK → district coordination

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT → coverage does not ensure viable credit.

05

STAGE 05

PSL TARGET BOARD

PSL TARGET BOARD · MOST DOMESTIC BANKS · 40 PER CENT OVERALL · 18 PER CENT · SMALL/MARGINAL FARMERS · 10 PER CENT · WEAKER SECTIONS · 12 PER CENT

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
MOST DOMESTIC BANKS → 40 per cent overall	SMALL/MARGINAL FARMERS → 10 per cent	MOST DOMESTIC BANKS → 40 per cent overall
AGRICULTURE → 18 per cent	WEAKER SECTIONS → 12 per cent	AGRICULTURE → 18 per cent

CORE CLAIM
- MOST DOMESTIC BANKS → 40 per cent overall
- AGRICULTURE → 18 per cent

MECHANISM
- SMALL/MARGINAL FARMERS → 10 per cent
- WEAKER SECTIONS → 12 per cent

CONSEQUENCE / LIMIT
- MOST DOMESTIC BANKS → 40 per cent overall
- AGRICULTURE → 18 per cent

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MOST DOMESTIC BANKS → 40 per cent overall.

06

STAGE 06

PSL STATUS GATE

PSL STATUS GATE · TARGETS COME FROM RBI MASTER DIRECTIONS · CATEGORIES AND SUB-TARGETS CAN CHANGE · QUOTE THE EFFECTIVE DIRECTION · DO NOT CALL A RATIO PERMANENT

TARGETS COME FROM RBI MASTER DIRECTIONS

CATEGORIES AND SUB-TARGETS CAN CHANGE → QUOTE THE EFFECTIVE DIRECTION → DO NOT CALL A RATIO PERMANENT

CORE CLAIM
- TARGETS COME FROM RBI MASTER DIRECTIONS
- CATEGORIES AND SUB-TARGETS CAN CHANGE

MECHANISM
- QUOTE THE EFFECTIVE DIRECTION
- DO NOT CALL A RATIO PERMANENT

CONSEQUENCE / LIMIT
- TARGETS COME FROM RBI MASTER DIRECTIONS
- CATEGORIES AND SUB-TARGETS CAN CHANGE

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: QUOTE THE EFFECTIVE DIRECTION; DO NOT CALL A RATIO PERMANENT.

07

STAGE 07

NBFC CONTAGION CHAIN

NBFC CONTAGION CHAIN · WHOLESALE FUNDING + MATURITY MISMATCH · DHFL STRESS · MUTUAL FUNDS + BANKS + MARKETS · NON-BANK STRESS CAN BE SYSTEMIC

WHOLESALE FUNDING + MATURITY MISMATCH → IL&FS / DHFL stress → mutual funds + banks + markets → LESSON → non-bank stress can be systemic

CORE CLAIM
- WHOLESALE FUNDING + MATURITY MISMATCH
- IL&FS / DHFL stress

MECHANISM
- mutual funds + banks + markets
- LESSON → non-bank stress can be systemic

CONSEQUENCE / LIMIT
- WHOLESALE FUNDING + MATURITY MISMATCH
- IL&FS / DHFL stress

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: mutual funds + banks + markets; LESSON → non-bank stress can be systemic.

08

STAGE 08

DEPOSITOR PROTECTION BOUNDARY

DEPOSITOR PROTECTION BOUNDARY · ELIGIBLE BANK DEPOSITS · OWNER CAP · RS 5 LAKH PER DEPOSITOR PER BANK · SECURITIES + INSURANCE + ORDINARY NBFC CLAIMS · PREVENTION, NOT PAYOUT

DICGC → eligible bank deposits

OWNER CAP → Rs 5 lakh per depositor per bank → OUT → securities + insurance + ordinary NBFC claims → PCA → prevention, not payout

CORE CLAIM
- DICGC → eligible bank deposits
- OWNER CAP → Rs 5 lakh per depositor per bank

MECHANISM
- OUT → securities + insurance + ordinary NBFC claims
- PCA → prevention, not payout

CONSEQUENCE / LIMIT
- DICGC → eligible bank deposits
- OWNER CAP → Rs 5 lakh per depositor per bank

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: OUT → securities + insurance + ordinary NBFC claims.

09

STAGE 09

REGULATORY PERIMETER

REGULATORY PERIMETER · BANKS + NBFCS + PAYMENTS · CROSS-SECTOR COORDINATION · CLOSE DISTINCTION · BANK IS NOT NBFC, DEPOSIT-TAKING PERMISSION IS NOT UNIVERSAL

RBI → banks + NBFCs + payments

SEBI → securities → IRDAI / PFRDA → insurance / pensions → FSDC → cross-sector coordination

CORE CLAIM
- RBI → banks + NBFCs + payments
- SEBI → securities

MECHANISM
- IRDAI / PFRDA → insurance / pensions
- FSDC → cross-sector coordination

CONSEQUENCE / LIMIT
- CLOSE DISTINCTION: Bank is not NBFC, deposit-taking permission is not universal,...
- RBI → banks + NBFCs + payments

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Bank is not NBFC, deposit-taking permission is not universal,.

10

STAGE 10

BALANCE-SHEET AND INCLUSION TRAPS

BALANCE-SHEET AND INCLUSION TRAPS · ACCESS + USAGE + QUALITY · SHARED EXPOSURE, NOT ZERO RISK · EVIDENCE LIMIT · IDENTIFY REGULATOR, STATUTE/DIRECTION

LOANS / INVESTMENTS → assets

DEPOSITS → liabilities → FI-INDEX → Access + Usage + Quality → SYNDICATION → shared exposure, not zero risk

CORE CLAIM
- LOANS / INVESTMENTS → assets
- DEPOSITS → liabilities

MECHANISM
- FI-INDEX → Access + Usage + Quality
- SYNDICATION → shared exposure, not zero risk

CONSEQUENCE / LIMIT
- EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Identify regulator, statute/direction,...
- LOANS / INVESTMENTS → assets

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Identify regulator, statute/direction,.

11

STAGE 11

FINANCIAL-REGULATION ANSWER SPINE

FINANCIAL-REGULATION ANSWER SPINE · CLASSIFY INSTITUTION AND POWERS · MAP FUNDING + LEVERAGE + SAFETY NET · TRACE CONTAGION AND SUPERVISION · BALANCE INCLUSION, DIVERSITY AND STABILITY

CLASSIFY institution and powers → MAP funding + leverage + safety net → TRACE contagion and supervision → BALANCE inclusion, diversity and stability

CORE CLAIM
- CLASSIFY institution and powers
- MAP funding + leverage + safety net

MECHANISM
- TRACE contagion and supervision
- BALANCE inclusion, diversity and stability

CONSEQUENCE / LIMIT
- CLASSIFY institution and powers
- MAP funding + leverage + safety net

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRACE contagion and supervision; BALANCE inclusion, diversity and stability.

E

EXTRA

SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT · BANKING COMBINES LEVERAGE, RUNNABLE LIABILITIES AND MATURITY TRANSFORMATION, WHICH · NBFC VULNERABILITY OFTEN COMES FROM WHOLESALE FUNDING, ASSET-LIABILITY MISMATCH · SCALE-BASED REGULATION SEEKS PROPORTIONALITY WHILE TIGHTENING RULES AS SYSTEMIC · CONSOLIDATED SUPERVISION IS NECESSARY WHEN RISKS MOVE ACROSS GROUP · RESOLUTION REGIMES SHOULD PROTECT CRITICAL FUNCTIONS WITHOUT GUARANTEEING SHAREHOLDERS · COMPETITION POLICY, CONSUMER PROTECTION, CYBER RESILIENCE AND PRUDENTIAL SAFETY · REGULATES BANKS, CO-OPERATIVE BANKING FUNCTIONS AND SPECIFIED NBFC CATEGORIES

OPTIONAL SOURCE DEPTH
- CAUTION: Banking combines leverage, runnable liabilities and maturity transformation, which
- CAUTION: NBFC vulnerability often comes from wholesale funding, asset-liability mismatch and
- CAUTION: Scale-based regulation seeks proportionality while tightening rules as systemic
- CAUTION: Consolidated supervision is necessary when risks move across group entities or market

ADVANCED DEBATE
- CAUTION: Resolution regimes should protect critical functions without guaranteeing shareholders
- CAUTION: Competition policy, consumer protection, cyber resilience and prudential safety are
- RBI: regulates banks, co-operative banking functions and specified NBFC categories.
- DICGC: insures eligible deposits in covered banks within the statutory framework.

LEGACY / NUANCE
- SEBI, IRDAI and PFRDA: regulate securities, insurance and pension sectors
- Financial Stability and Development Council: supports inter-regulatory coordination
- CAUTION: A bank can offer demand deposits and payment services; an ordinary NBFC cannot issue
- CAUTION: A wholesale-funded NBFC can face a rollover crisis even without retail deposit

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels